

Asset Class	Percent	Sample Low-Cost Funds and Symbols
U.S. Equity		
Core U.S. equity	18%	Vanguard Total U.S. Stock Market Index (VTSMX) or Vanguard Total U.S. Stock Market ETF (VTI)
Small value	8%	Vanguard Small-Cap Value Index Fund (VISVX) or iShares S&P 600 Barra Value (IJS)
Microcap	4%	Bridgeway Ultra Small Company Market (BRSIX) or iShares Russell Microcap Index ETF (IWC)
Real estate	7%	Vanguard REIT Index Fund (VGSIX) or Vanguard REIT ETF (VNQ)
International Equity		
Pacific Rim—large	3%	Vanguard Pacific Stock Index (VPACX) or Vanguard Pacific Stock ETF (VLP)
Europe—large	3%	Vanguard European Stock Index (VEURX) or Vanguard European Stock ETF (VGK)
International	4%	DFA International Small Cap Value* (DISVX) or small-cap value WisdomTree International Small Cap Dividend (DLS)
Emerging markets	3%	DFA Emerging Markets* (DFEMX) or Vanguard Emerging Markets Stock ETF (VWO)
Fixed Income		
Investment-grade	24%	Vanguard Total Bond Market Index Fund (VBMFX) bonds or Vanguard Total Bond Market ETF (BND)
High-yield bonds	12%	Vanguard High Yield Bond Fund (VWEHX) or iShares iBoxx High Yield Corporate Bond (HYG)
Inflation-protected bonds	12%	Vanguard Inflation-Protected Securities (VIPSX) or iShares Barclays TIPS Bond Fund (TIP)
Cash		
Cash equivalent	2%	Low-cost money market fund with checking

*DFA funds are only available through select financial advisors. Alternatives are available to all investors.

GROUP 4: MATURE RETIREES

The good news is that Americans are living longer; the bad news is that we do not live forever. The average life expectancy of a 65-year-old is 86, which is about 10 years longer than it was in 1940 according to the Department of the Treasury. Today's seniors are also healthier and more active. They eat better, get more exercise, and smoke less than they did in prior generations. Longevity trends are so strong that new life insurance tables recently introduced by the Society of Actuaries go out to age 120.

Alas, the Fountain of Youth is still yet to be discovered. No one lives forever. At some point, we all need to get our financial house in order and prepare for the afterlife. This means that someone else will be handling